

SENATE BILL 2078

By Watson

AN ACT to amend Tennessee Code Annotated, Title 4, Chapter 49; Title 4, Chapter 51 and Title 49, Chapter 4, relative to safeguarding financial aid programs funded using net lottery proceeds.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1.

(a) The Tennessee higher education commission (THEC) shall submit a one-time report to the education committee of the senate; the committee of the house of representatives having jurisdiction over higher education; the finance, ways and means committee of the senate; and the committee of the house of representatives having jurisdiction over finance that identifies any fiscal year since 2004 for which net lottery proceeds were insufficient to fully fund the scholarships and grants created by Tennessee Code Annotated, Title 49, Chapter 4, Part 9, resulting in:

(1) A pro rata reduction in the amounts awarded for any such scholarships and grants pursuant to Tennessee Code Annotated, Section 49-4-903; or

(2) A draw upon the general shortfall reserve subaccount created in Tennessee Code Annotated, Section 4-51-111(b)(3) to meet any deficiency in the net lottery proceeds in the lottery for education account to cover the amount appropriated for educational programs and purposes pursuant to Tennessee Code Annotated, Section 4-51-111(c).

(b) THEC shall submit the report required in subsection (a) no later than October 1, 2027. The report must include the information described in subsection (a) for each

fiscal year beginning with the 2004 fiscal year and continuing through the 2026 fiscal year.

SECTION 2. This act takes effect upon becoming a law, the public welfare requiring it.